UNIT - III

BUSINESS ORGANIZATIONS AND MARKETS

Subject: Managerial Economics & Financial Analysis (23A52402a)

Syllabus at a glance

- Forms of business organizations: sole proprietorship, partnership, joint stock companies, public sector enterprises
- Types of markets: perfect and imperfect competition
- Features of perfect competition; monopoly; monopolistic competition; oligopoly
- Price-output determination; pricing methods and strategies

1. Business Organizations

1.1 Meaning

- A **business organization** is the legal and structural form in which a business is owned, financed and run.
- Choice depends on capital needed, risk, control, legal formalities, taxation and continuity.

1.2 Classification

Business forms → **Private sector** → **Public sector** → **Joint sector**

- **Private sector**: sole proprietorship, partnership, joint stock company, co-operative society, Hindu Undivided Family business.
- **Public sector**: government owned (departmental undertaking, statutory corporation, government company).

2. Sole Proprietorship

2.1 Meaning

A business owned, managed and controlled by **one person** who bears all the risks and enjoys all the profits. No separate legal identity.

2.2 Features

- Single owner; **unlimited liability**; easy to start (no legal formalities).
- Owner takes all decisions; profit is not shared; business secrecy is maintained.
- Business and owner are the same in law; the life of the business depends on the owner.

2.3 Merits and Demerits

Merits	Demerits
Easy formation and closure	Limited capital and credit
Quick decision and flexibility	Unlimited liability (personal assets at risk)
Entire profit goes to owner	Uncertain continuity (death, insolvency)
Personal touch with customers	One person may lack all skills
Secrecy and low tax burden	Limited scope for expansion

- Suitable for: small retail shops, tailoring, salons, restaurants.

3. Partnership

3.1 Meaning

Section 4 of the Indian Partnership Act, 1932: "Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

3.2 Features

- **Two or more persons** (minimum 2, maximum 50 under the Companies Act 2013).
- **Agreement** (partnership deed, oral or written); **business motive** and profit sharing.
- **Mutual agency**: each partner is an agent and principal for the others.
- **Unlimited liability**, joint and several; no separate legal entity.
- **Management by all or any partner**; the firm is dissolved on death / insolvency unless the deed says otherwise.

3.3 Types of partners

Type	Meaning
Active	Takes part in management
Sleeping (dormant)	Invests capital, shares profit, does not manage
Nominal	Lends name to firm, no capital or profit share
Partner by estoppel	Represents himself as a partner, liable to outsiders
Secret	Membership not known to the public
Minor	Admitted only to the benefits, not liable for losses

3.4 Merits and Demerits

Merits	Demerits
Easy to form, little legal formality	Unlimited liability
More capital and skills pooled	Disputes between partners
Quick decisions, shared risk	Limited capital compared with a company
Flexibility and secrecy	Lack of continuity, no transfer of shares

- **Limited Liability Partnership (LLP)** (Act 2008): a hybrid with limited liability of partners and a separate legal entity.

4. Joint Stock Company

4.1 Meaning

Justice Marshall: "A company is an artificial person, invisible, intangible and existing only in the eyes of law." Chief Justice Marshall (Dartmouth case, 1819). Governed by the **Companies Act, 2013** .

4.2 Features

- **Separate legal entity** , perpetual succession (never dies).
- **Limited liability** of shareholders (up to the unpaid value of shares).
- **Common seal** ; **transferable shares** (public company); capital divided into shares.
- Management by a **Board of Directors** elected by shareholders; can sue and be sued in its own name.

4.3 Types of companies

Basis	Types

By incorporation	Chartered, Statutory, Registered
By liability	Limited by shares, limited by guarantee, unlimited
By members	Private (2-200 members, no public issue), Public (min 7, unlimited, free transfer)
By control	Holding and subsidiary company
By nationality	Indian and foreign company
Special	One Person Company (OPC), Small company, Government company

4.4 Private vs Public company

Basis	Private company	Public company
Minimum members	2	7
Maximum members	200	Unlimited
Directors	Minimum 2	Minimum 3
Share transfer	Restricted	Freely transferable
Public issue / prospectus	Not allowed	Allowed
Name	Ends with 'Private Limited'	Ends with 'Limited'

4.5 Formation (stages)

Promotion → **Incorporation** → **Capital subscription** → **Commencement**

- **Promotion**: idea, feasibility, name approval, MOA and AOA drafted.
- **Incorporation**: certificate of incorporation from the Registrar of Companies (SPICe+ form online).
- **Documents**: **MOA** (Memorandum of Association: objects, powers) and **AOA** (Articles of Association: internal rules); **Prospectus** for public issue.

4.6 Merits and Demerits

Merits	Demerits
Limited liability	Complex formation, many legal rules
Large capital from public	Delay in decision, red tape

Perpetual existence	Lack of secrecy, high taxes
Professional management	Separation of ownership and control, manipulation

5. Public Sector Enterprises (PSEs)

5.1 Meaning and forms

- Enterprises **owned, financed and managed by the Government** (Central, State or local) to serve public interest.
- **Forms** : (a) **Departmental undertaking** (Railways, Posts); (b) **Statutory corporation** (LIC, RBI, ONGC) set up by an Act of Parliament; (c) **Government company** (BHEL, SAIL, HAL) with at least 51% government shareholding.

5.2 Objectives

- Balanced regional development, employment, **economic growth** and heavy industry.
- Control of key sectors, social welfare, preventing concentration of wealth, earning revenue.

5.3 Merits and Demerits

Merits	Demerits
Rapid industrial growth	Political interference
Welfare and employment	Bureaucratic delays
Controls monopoly of private firms	Low efficiency and profit
Balanced regional growth	Misuse of funds, lack of accountability

5.4 Comparison of forms (summary)

Basis	Sole trader	Partnership	Company	PSE
Owners	1	2 - 50	Shareholders	Government
Liability	Unlimited	Unlimited	Limited	Limited / state
Legal entity	No	No	Yes	Yes
Capital	Small	Moderate	Large	Very large
Continuity	Uncertain	Uncertain	Perpetual	Perpetual

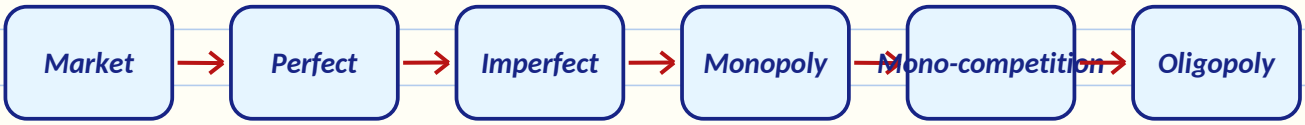
6. Types of Markets

6.1 Meaning

- **Market** = a place or arrangement where buyers and sellers interact to exchange goods at a price (not necessarily a physical place).

6.2 Classification

Basis	Types
Area	Local, regional, national, international
Time	Very short period, short period, long period
Competition	Perfect competition and imperfect competition
Imperfect	Monopoly, monopolistic competition, oligopoly, duopoly



7. Perfect Competition

7.1 Features

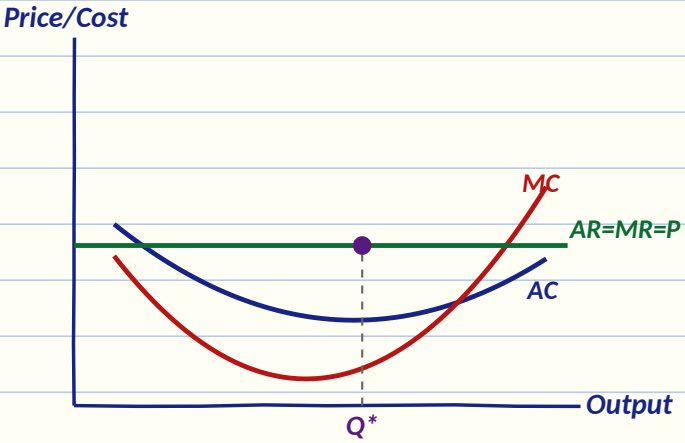
- **Large number of buyers and sellers** ; no single one can influence the price.
- **Homogeneous (identical) product** ; **free entry and exit** of firms.
- **Perfect knowledge** of the market; **perfect mobility** of factors; no transport cost; no government interference.
- **Firm is a price taker** , industry is the price maker; **AR = MR = Price** (horizontal demand curve).

7.2 Price determination (industry)

- Price is fixed where **market demand = market supply** . The firm takes this price as given.

7.3 Equilibrium of the firm

Conditions: (1) MR = MC (2) MC cuts MR from below (MC is rising)



Perfect competition (firm):
price taker, horizontal demand.
Equilibrium where MC = MR with MC rising.

- **Short run** : *firm may earn* **super-normal profit** *(P > AC), normal profit (P = AC) or loss (P < AC; continues if P > AVC).*
- **Long run** : *free entry and exit eliminate profit or loss;* **P = AC = MC (minimum)**, *firm earns only normal profit and is efficient.*

Super-normal profit example

Price Rs. 50; AC Rs. 40; output 100 units. Profit = (50 - 40) x 100 = **Rs. 1,000** .

8. Monopoly

8.1 Meaning and features

Monopoly = a market with a **single seller** *of a product that has no close substitutes, with barriers to entry.*

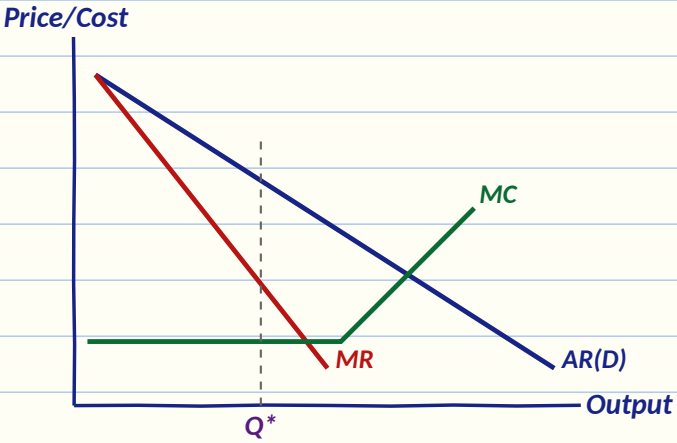
- **One seller** , *no close substitute, strong barriers to entry (patents, licences, control of raw materials).*
- **Price maker** ; *downward sloping demand curve; AR > MR;* **price discrimination** *is possible.*

8.2 Sources of monopoly

- *Legal (patent, copyright, licence), natural (public utilities), ownership of scarce raw material, large economies of scale, government franchise.*

8.3 Equilibrium

Conditions: MC = MR (and MC cuts MR from below)



Monopoly: single seller, downward sloping AR; MR lies below AR. Output where MC = MR; **price is read from AR curve.**

- Monopolist charges **price above MC**, so output is lower and price higher than perfect competition. A monopolist can earn super-normal profit even in the long run.

8.4 Price discrimination

- Charging different prices for the same product to different buyers (personal, place, use, time). Conditions: separable markets and different elasticities. Charge a **higher price in the less elastic market**.

9. Monopolistic Competition

9.1 Features (Chamberlin)

- **Large number of sellers**, each with a small share; **differentiated products** (brand, packing, quality).
- **Free entry and exit**; selling costs (advertisement) important; **non-price competition**.
- **Downward sloping, highly elastic demand curve**; firm has some control over the price.
- Examples: soaps, toothpaste, restaurants, garments, mobile accessories.

9.2 Equilibrium

- Short run: MR = MC gives super-normal profit or loss.
- Long run: entry removes profit, so **AR = AC** (tangent to AC), only normal profit. Firm operates with **excess capacity** (output less than at minimum AC).

10. Oligopoly

10.1 Features

- **Few large sellers**, mutually **interdependent**; each firm must consider rivals' reactions.
- Product may be **homogeneous** (steel) or **differentiated** (cars, telecom, airlines).

- **Barriers to entry**, heavy advertising and non-price competition; **price rigidity**.
- Indeterminate demand curve; **Kinked demand curve** (Sweezy): rivals match price cuts but ignore price rises, so price stays stable.

10.2 Collusion models

- **Cartel** (OPEC), **price leadership** (dominant firm sets price, others follow), **collusion** is illegal under the Competition Act, 2002.

10.3 Comparison of market structures

Basis	Perfect	Monopoly	Monop. competition	Oligopoly
Sellers	Very many	One	Many	Few
Product	Homogeneous	Unique	Differentiated	Homog. / diff.
Entry	Free	Blocked	Free	Difficult
Price control	None	Full	Some	Interdependent
Demand curve	Horizontal	Downward	Downward (elastic)	Kinked
AR vs MR	AR = MR	AR > MR	AR > MR	Kinked: gap in MR

11. Pricing Methods

11.1 Factors influencing pricing

- Cost, demand and elasticity, competition, objectives of firm, government regulation, product life cycle, and customer perception.

11.2 Methods of pricing

Method	Meaning
Cost-plus (full cost) pricing	Price = Average cost + fixed percentage markup
Marginal cost pricing	Price just above marginal cost; used in excess capacity
Target-return pricing	Price to earn a desired return on investment
Going-rate pricing	Follow market / competitors' price
Sealed-bid pricing	Quote in tenders, competitive bidding
Perceived value pricing	Based on the buyer's perception of value
Demand-based pricing	Price changes with demand (peak / off-peak)

Example (cost-plus): Average cost = Rs. 80; markup = 25%. Price = 80 + 20 = **Rs. 100** .

Target return price = AC + (Capital employed x return %) / Expected output

11.3 Pricing strategies

- **Skimming** : high initial price for a new product, lowered later (mobiles, gadgets).
- **Penetration** : low initial price to capture market share quickly (Jio).
- **Price discrimination** : different prices for different segments.
- **Predatory pricing** : temporarily very low price to drive out rivals.
- **Psychological pricing** : Rs. 999 instead of Rs. 1000. **Prestige pricing** : high price for status.
- **Product-line pricing** , bundle pricing, **loss leader** (sell one item below cost to attract traffic), **transfer pricing** (between divisions), **peak-load pricing** , **dumping** .
- **Product life cycle pricing** : introduction (skim / penetrate), growth, maturity (competitive), decline (discount).

12. Additional Topics

12.1 Sole trader vs Partnership

Basis	Sole proprietorship	Partnership
Ownership	One person	2 to 50 persons
Capital	Limited to owner's resources	More, pooled by partners
Risk	Borne by one	Shared by partners
Decision	Fast, individual	Joint, may be delayed
Legal status	No Act, no registration needed	Indian Partnership Act 1932 (registration optional)

12.2 Other forms of organisation

- **Co-operative society** : voluntary association of persons for mutual welfare; one member one vote; Co-operative Societies Act 1912; examples: Amul, Handloom societies.
- **Hindu Undivided Family (HUF)** : family business managed by the Karta; members are co-parceners.
- **Franchise, joint ventures, start-ups** : modern forms; **Section 8 company** for non-profit objectives.

12.3 Factors for choosing a form of organisation

- Nature and size of business, capital requirement, liability and risk appetite.
- Desire for control, legal formalities, taxation, continuity and future growth plans.

12.4 Key company documents

Document	Purpose
Memorandum of Association	Charter of company: name, registered office, objects, liability, capital
Articles of Association	Rules for internal management (directors, meetings, shares)
Prospectus	Invitation to the public to subscribe to shares / debentures
Certificate of Incorporation	Proof that the company legally exists
Certificate of Commencement	Earlier needed for public company to start business

12.5 Shares and debentures

- **Equity shares**: ownership, voting rights, variable dividend, last to be paid on winding up.
- **Preference shares**: fixed dividend, priority in dividend and capital repayment, generally no voting rights.
- **Debentures**: loan to the company, fixed interest, no ownership, secured or unsecured.

13. Market Concepts in Detail

13.1 Perfect vs Imperfect competition

Basis	Perfect competition	Imperfect competition
Sellers	Very large number	One, few or many with differentiation
Product	Homogeneous	Differentiated or unique
Price	Market determined, price taker	Firm has some power over price
Knowledge	Perfect	Imperfect
Reality	Theoretical benchmark	Most real-world markets

13.2 Pure competition vs Perfect competition

- **Pure competition**: many sellers, homogeneous product, free entry (but not perfect knowledge or mobility). Perfect competition = pure competition + perfect knowledge +

perfect mobility.

13.3 Short-run position of a competitive firm

Situation	Condition	Decision
Super-normal profit	P > AC	Produce where MC = MR
Normal profit	P = AC	Break-even, continue
Loss, covers AVC	AVC < P < AC	Continue in short run, minimise loss
Shutdown	P < AVC	Stop production

13.4 Degrees of price discrimination (Pigou)

- **First degree**: each unit sold at the maximum price a buyer will pay (perfect discrimination).
- **Second degree**: different prices for blocks of quantity (electricity slabs).
- **Third degree**: different prices in different markets or groups (student discount, domestic vs export).

13.5 Duopoly and Monopsony

- **Duopoly**: only two sellers (Cournot model). **Monopsony**: only one buyer. **Oligopsony**: few buyers.

13.6 Monopoly vs Perfect competition

Basis	Monopoly	Perfect competition
Price	Higher (P > MC)	Lower (P = MC)
Output	Lower	Higher (efficient)
Profit	Super-normal even in long run	Normal in long run
Demand curve	Downward sloping	Horizontal
Entry	Blocked	Free

14. Pricing Problems

Problem 1: Cost-plus pricing

TVC per unit = Rs. 60; fixed cost = Rs. 2,00,000; expected output 10,000 units; markup 20% on full cost.

- Full cost per unit = 60 + 20 = Rs. 80. Markup = 80 x 20% = 16.

Price = 80 + 16 = Rs. 96

Problem 2: Target-return pricing

Capital employed Rs. 10,00,000; desired return 15%; AC Rs. 50; output 20,000 units.

Price = 50 + (10,00,000 x 15%) / 20,000 = 50 + 7.5 = Rs. 57.50

Problem 3: Profit maximisation (MR = MC)

A monopolist's demand: P = 100 - 2Q; MC = Rs. 20 (constant). Find Q, P and profit.

- TR = PQ = 100Q - 2Q squared, so MR = 100 - 4Q. Set MR = MC: 100 - 4Q = 20, so Q = 20.

P = 100 - 2(20) = Rs. 60; Profit = (60 - 20) x 20 = Rs. 800

Problem 4: Competitive firm equilibrium

Price is Rs. 30. MC = 2Q + 10. Find the equilibrium output.

MR = P = 30; MC = MR gives 2Q + 10 = 30, so Q = 10 units.

Problem 5: Price discrimination

Market A: elasticity 3; Market B: elasticity 1.5. In which market is the price higher?

- The less elastic market (B, elasticity 1.5) will be charged the **higher price**; MR is equal in both markets at equilibrium.

15. Quick Revision and Exam Questions

Perfect competition: P = MR = MC (long run P = min AC). Monopoly: MR = MC, P > MC. Monopolistic comp.: differentiated, AR = AC in long run. Oligopoly: interdependence, kinked demand curve.

Liability: Sole trader and partners = unlimited; company = limited. Companies Act 2013; Partnership Act 1932; LLP Act 2008.

- Explain the features, merits and demerits of sole trader, partnership and joint stock company. (10 M)
- Distinguish between private and public company. (5 M)
- What are public sector enterprises? Explain their forms and objectives. (10 M)
- Explain the features of perfect competition and equilibrium of the firm. (10 M)
- Explain price-output determination under monopoly. (10 M)

- Monopolistic competition vs oligopoly. Kinked demand curve. (5 M)
- Discuss different pricing methods and strategies. (10 M)